STOCKTRAK TRADING SIMULATION REPORT

November 20, 2025

"*Financial conditions matter. Risk sentiment matters. And how the market interprets information often matters just as much as the information itself.*" — **Jerome Powell, Chair of the Federal Reserve**

This single idea shaped the environment that surrounded me as the semester began. Throughout the early fall, Jerome Powell's voice felt almost unavoidable. He appeared in Jackson Hole conferences, offered remarks after Federal Open Market Committee meetings, and spoke with financial journalists about inflation, economic softening, and the path forward for monetary policy. Every time he spoke, markets reacted almost instantly. A shift in expectations about interest rate cuts could send the Nasdaq higher within minutes, and a subtle expression of caution could drain risk appetite just as quickly. Technology stocks rose and fell like they were breathing with every headline, and the options market responded even faster.

This created the backdrop for my experience with this StockTrak simulation. For the first time, a class project felt entirely intertwined with real economic forces. During the previous summer, I worked at JPMorgan, where I read daily briefings written by the firm's economists and analysts. These internal notes explained how rate expectations, liquidity conditions, and central bank decisions guide large institutional portfolios. I learned how traders prepare for economic events before they happen, how sentiment shifts long before the data appears, and how financial markets constantly reinterpret information. When the fall semester began, I continued following the same routines. I checked Bloomberg every morning, watched CNBC in the evenings, and read earnings transcripts whenever companies released them. It felt as if my academic learning and professional exposure were overlapping, and the simulation became a natural continuation of that rhythm.

This mindset shaped my trading thesis. I believed that if the Federal Reserve did not introduce new tightening signals and if corporate earnings confirmed ongoing strength in artificial intelligence investment, then technology firms and semiconductors would show resilience. I expected the Nasdaq to respond positively to stable or improving economic conditions, especially given the excitement surrounding advanced GPUs, data centers, and the next generation of AI-driven services. I wanted to participate in that movement, not through simple equity positions but through instruments that demonstrated the concepts we studied in MGMT 411. Options offered the opportunity to explore the same mechanics described in our course chapters, from payoff structures to valuation frameworks.

With this in mind, I built a portfolio centered on leveraged technology exposure. I purchased SOXL and TQQQ to amplify my directional view. I then layered call options on Nvidia, SOXL, and TQQQ to explore how convexity behaves under real market conditions. The experience that followed was a blend of excitement, confusion, confidence, and humility. It provided an immersive demonstration of everything we studied: the influence of volatility, the importance of timing, the behavior of risk-neutral pricing, and the way theoretical models mirror reality.

The remainder of this report examines three trades in detail. The first was a clear success; the second became the costliest decision of the semester, and the third proved to be the most interesting. After explaining these trades, I examine the movement of my portfolio across the semester and provide a reflection on what this experience taught me about options and about myself as an investor.

Trade One: Nvidia 175 Calls: A Convex Beginning

The most successful trade I made involved purchasing Nvidia 175 strike call options that expired in early October. I took this position on September tenth after observing an improvement in both market sentiment and sector momentum. Nvidia had been central to nearly every major move in the market throughout the year. Investor attention focused on the company's central role in powering artificial intelligence infrastructure, accelerating data center demand, and driving semiconductor capital expenditure cycles. Because of this, Nvidia often amplified broader market trends. When technology stocks rallied, Nvidia frequently led the move. When speculation around artificial intelligence accelerated, Nvidia benefited disproportionately.

My choice to buy calls was influenced by both class concepts and market knowledge. Given Nvidia's track record of producing strong upward movements, a call option with a 175 strike was somewhat out of the money but still very much within reach. The option's gamma was comparatively high due to the short time to expiration. This meant that even modest changes in the underlying stock price would cause the option to react violently. I wanted exposure to that convexity, especially because upcoming macroeconomic data and earnings updates suggested rising volatility.

Nvidia started to rise in a matter of days. Strong semiconductor industry performance and higher economic forecasts gave the underlying stock a boost. My option's value rose rapidly. This occurred as a result of both implied volatility and the stock getting closer to the strike price. The premium increased dramatically as a result of a growing underlying asset, rising implied volatility, and quickly growing intrinsic value.

In order to control risk and safeguard earnings, I left the position many times. The transaction was the most lucrative position of the semester, with a total profit of almost $4,425.

Many of the concepts covered in MGMT 411 were illustrated in this publication. The value curve steepened as the option approached the strike, making payoff diagrams tangible. The likelihood of finishing in the money grew with each day that the stock rose, which was explained by the binomial model. The Black-Scholes framework shed light on how the option's premium was influenced by implied volatility and time to expiry. Vega raised the option price as volatility predictions improved, gamma increased the rate of change of delta, and delta climbed as the stock rose. The experience showed that when the direction, volatility, and timing of a trade align, call options possess extraordinary potential.

Trade Two: SOXL 31 Calls – My Worst Trade

While the Nvidia trade was a high point, my experience with SOXL call options became the low point of the simulation. SOXL is a triple leveraged semiconductor exchange traded fund created to replicate three times the daily returns of the underlying index. This structure makes SOXL extremely volatile. It benefits dramatically when the sector rallies, but it suffers equally when the index moves sideways or dips. Because it resets daily, SOXL experiences volatility drag, meaning that even if the underlying index ends up flat, the leveraged ETF may lose value over the same period.

I purchased the SOXL November 31 strike calls on September tenth. My rationale was based on optimism about the semiconductor sector combined with recent upward moves in Nvidia and other chip names. I expected a continuation of the rally and wanted a way to amplify that upside. My logic seemed convincing at the time. If Nvidia and other semiconductor leaders rose ahead of economic reports or earnings, SOXL would increase even more sharply. Combining that leveraged movement with the convexity of an out-of-the-money call created the potential for a significant payoff.

Unfortunately, this trade moved against me from nearly the moment it began. The semiconductor index did not continue upward. It oscillated unpredictably as markets reacted to shifts in Treasury yields, adjustments in interest rate expectations, and sector-specific volatility. Instead of trending higher, SOXL fell victim to exactly the conditions that damage leveraged ETFs. Because of the daily rebalancing mechanism, the sideways and volatile nature of the sector caused SOXL to decay rapidly. My out-of-the-money calls suffered almost immediately. Time decay accelerated, implied volatility contracted, and the underlying ETF lost value even when the broader index had not declined materially.

Across two purchase lots, the position lost nearly its entire premium. The total loss exceeded six thousand dollars and became the largest negative outcome of my simulation.

This trade taught me more than any chart or formula could have. It revealed how leveraged ETFs behave under real conditions and why professional traders treat them cautiously. It illustrated the combined effects of theta decay, volatility drag, and reduced probability of finishing in the money. The binomial tree model would have shown how quickly the branches shifted away from favorable outcomes as volatility increased without direction. The Black–Scholes model also highlighted how out-of-the-money calls depend heavily on rising volatility, which did not occur.

This experience showed that leverage magnifies not only gains but also structural decay. It reminded me that theoretical upside cannot compensate for unfavorable market dynamics when the underlying asset is inherently unstable. It demonstrated the importance of understanding instrument structure rather than focusing only on potential payoff.

Trade Three: SPY 585 Strike– My Most Interesting Trade

The most intellectually interesting trade I made during the simulation involved purchasing SPY 585 strike puts expiring on September twenty sixth. Unlike the previous two trades, this position was not taken to chase upside or amplify returns. Instead, it was a deliberate attempt to protect my portfolio from a potential downside shock. I opened this position shortly before the release of a major jobs report. Market expectations were uncertain, and investors debated whether labor market strength would delay future rate cuts. A hotter than expected report could have caused bond yields to rise and equity prices to fall, particularly in sectors that are sensitive to economic conditions. I had significant long exposure through both Nvidia and various technology-linked instruments at the time. I wanted a way to offset that risk without unwinding my broader strategy. The SPY put appealed to me because it was deeply out of the money and therefore inexpensive. Although it was unlikely to finish in the money under normal conditions, it provided a clear benefit if markets reacted sharply to the economic data. In other words, it created an asymmetric outcome. The cost was small, but in the event of a substantial decline, the payoff could have been meaningful.

When the report was released, markets absorbed the information quietly. Equity prices did not fall significantly, and volatility declined as uncertainty faded. Because of this, the SPY put lost value gradually until it expired worthless. The financial loss was small, but what mattered more was the way the trade illuminated hedging concepts from class. The experience tied directly to the idea of protective puts. It demonstrated how option premiums behave when the underlying asset does not move toward the strike and how the time value erodes as expiration approaches. It also emphasized why many institutional investors allocate capital to tail risk hedges despite knowing that most of those options will never finish in the money. The value lies not in their expected payoff but in their ability to reduce portfolio volatility during periods of uncertainty.

This trade deepened my appreciation for the risk-neutral valuation framework. It showed that an option can have strategic purpose even when its expected value is low. It also helped me understand how professional traders structure portfolios with a mixture of offensive and defensive components, allocating capital not only to potential winners but also to positions that stabilize the overall risk profile.

Portfolio Summary & Interpretation

My portfolio started the simulation at around two hundred thousand dollars. In the beginning, things went really well because semiconductor stocks and tech companies were doing great. Nvidia was strong, chips were rallying, and there was a lot of excitement about artificial intelligence. Since most of my trades were connected to that momentum, my portfolio kept climbing. When I downloaded my historical data from StockTrak and graphed it in Excel, I could clearly see this upward trend. It lined up perfectly with positive news about inflation and earnings, which gave the whole tech sector a boost.

The chart showed that my best stretch happened around late October. My mix of SOXL, TQQQ, and my winning Nvidia call options made the portfolio spike pretty quickly. For a while, it looked like everything was working in my favor.

Then November started, and things changed. The chart showed a slow but steady drop in my portfolio value. The reason was simple once I understood it. A lot of the options I still held were running out of time. Options lose value every day as they get closer to their expiration date, especially if the stock stops moving in the direction you need. Even though my stocks did not crash, the options themselves kept shrinking just because time was passing. That steady decline on the graph was basically “time decay” doing its job.

Even with that drop, I still finished the simulation with about two hundred twelve thousand dollars, which means I made around six percent overall. That beat the benchmark, which showed that my early strategy worked really well, but I also paid the price later for holding some options longer than I should have.

Looking back, the whole experience taught me how powerful options can be but also how risky they are if you don’t manage them carefully. If I traded with real money, I would definitely give myself more time before expiration, avoid stacking too much leverage, and be more selective about when I use aggressive strategies. Covered calls, protective puts, or longer-dated directional plays would fit my personality and risk level much better.

The most interesting part is how everything tied together: the things Jerome Powell was saying on TV, the research I used to read at JPMorgan, and the concepts we learned in MGMT 411. For the first time, I could actually see how news, math, and market behavior connect. Watching my portfolio rise and fall made all of those ideas real, and it gave me a much better sense of how markets actually work.

OPEN/CLOSE POSITIONS

Below is the exported list of my open option positions as of the final day of the simulation. These include the SOXL, NVDA, and TQQQ call options that experienced significant time decay and accounted for the majority of my unrealized losses.

Symbol	Description	Quantity	Currency	LastPrice	PricePaid	DayChange	ProfitLoss	MarketValue	ProfitLossPercentage
QQQ	Invesco Capital Management LLC - Invesco QQQ Trust Series 1	50	USD	585.67	571.9	-14.20	688.50	29283.5	2.41
SOXL	Direxion Shares ETF Trust - Direxion Daily Semiconductor Bull 3X Shares	1500	USD	30.81	26.686	-5.15	6,186.00	46215	15.45
TQQQ	ProShares Trust - ProShares UltraPro QQQ 3x Shares	600	USD	46.45	46.915	-3.58	-279.00	27870	-0.99
NVDA2521K190	NVIDIA Corp	5	USD	0.34	8.45	-4.91	-4,055.00	170	-95.98
NVDA2521K195	NVIDIA Corp	5	USD	0.09	6.55	-3.38	-3,230.00	45	-98.63
SOXL2521K31	Direxion Shares ETF Trust - Direxion Daily Semiconductor Bull 3X Shares	20	USD	1.37	3.175	-4.20	-3,610.00	2740	-56.85
TQQQ2519L50	ProShares Trust - ProShares UltraPro QQQ 3x Shares	20	USD	2.65	3.875	-47.00	-2,450.00	5300	-31.61

This section contains the exported data for all closed option transactions completed during the simulation. These represent the realized profits and losses from early closed Nvidia, QQQ, SPY, and other option trades.

Realized Gains											
DATETIME	SYMBOL	COMPANYNAME	SECURITY TYPE	ORDER SIDE	QUANTITY	MULTIPLIER	AVG PRICE	EXCHANGE	FXRATE	COST	PROFIT LOSS PER POSITION
09/05/2025@09:32	SQQQ	ProShares Trust - ProShares UltraPro Short QQQ -3x Shares	Equities	Buy	150	1	17.06	US	1	$2,559.00	
09/05/2025@10:28	SQQQ	ProShares Trust - ProShares UltraPro Short QQQ -3x Shares	Equities	Sell	-150	1	17.55	US	1	$2,632.50	$73.50
09/05/2025@09:32	SQQQ	ProShares Trust - ProShares UltraPro Short QQQ -3x Shares	Equities	Buy	150	1	17.06	US	1	$2,559.00	
09/10/2025@10:52	SQQQ	ProShares Trust - ProShares UltraPro Short QQQ -3x Shares	Equities	Sell	-150	1	16.84	US	1	$2,526.00	($33.00)
09/05/2025@09:32	TQQQ	ProShares Trust - ProShares UltraPro QQQ 3x Shares	Equities	Buy	200	1	93.83	US	1	$18,766.00	
09/05/2025@10:11	TQQQ	ProShares Trust - ProShares UltraPro QQQ 3x Shares	Equities	Sell	-200	1	93.02	US	1	$18,604.00	($162.00)
09/05/2025@09:32	TQQQ	ProShares Trust - ProShares UltraPro QQQ 3x Shares	Equities	Buy	300	1	93.83	US	1	$28,149.00	
11/20/2025@12:00	TQQQ	ProShares Trust - ProShares UltraPro QQQ 3x Shares	Equities	Sell	-300	1	93.83	US	1	$28,149.00	$0.00
09/05/2025@09:30	NVDA2503J175	NVIDIA Corp	Options	Buy	5	100	3.65	US	1	$1,825.00	
09/10/2025@11:13	NVDA2503J175	NVIDIA Corp	Options	Sell	-5	100	8.85	US	1	$4,425.00	$2,600.00
09/05/2025@09:30	NVDA2503J175	NVIDIA Corp	Options	Buy	5	100	3.65	US	1	$1,825.00	
10/03/2025@06:15	NVDA2503J175	NVIDIA Corp	Options	Sell	-5	100	12.62	US	1	$6,310.00	$4,485.00
09/05/2025@09:30	QQQ2526I580	Invesco Capital Management LLC - Invesco QQQ Trust Series 1	Options	Buy	10	100	9.53	US	1	$9,530.00	
09/26/2025@06:16	QQQ2526I580	Invesco Capital Management LLC - Invesco QQQ Trust Series 1	Options	Sell	-10	100	15.97	US	1	$15,970.00	$6,440.00
09/05/2025@09:31	SPY2526U585	SSgA Active Trust - SPDR S&P 500 ETF Trust	Options	Buy	5	100	0.49	US	1	$245.00	
09/10/2025@10:59	SPY2526U585	SSgA Active Trust - SPDR S&P 500 ETF Trust	Options	Sell	-5	100	0.30	US	1	$150.00	($95.00)
09/10/2025@11:28	TQQQ2519L100	ProShares Trust - ProShares UltraPro QQQ 3x Shares	Options	Buy	10	100	7.75	US	1	$7,750.00	
11/20/2025@12:00	TQQQ2519L100	ProShares Trust - ProShares UltraPro QQQ 3x Shares	Options	Sell	-10	100	7.75	US	1	$7,750.00	$0.00

HISTORICAL PORTFOLIO VALUES (RAW DATA)

The following table contains the raw data exported from StockTrak's "Historical Portfolio Values" tool, including Date, Portfolio Value, Market Value of Positions, Cash Balance, and Total Trades Made. This dataset reflects the day-to-day changes in my portfolio over the three-month simulation period.

Date	Value	Trades Made	Rank
9/2/25	$200,000.00	0	0
9/3/25	$200,016.44	0	0
9/4/25	$200,189.38	1	1
9/5/25	$195,772.97	10	2
9/6/25	$195,780.13	10	2
9/7/25	$195,787.29	10	2
9/8/25	$198,230.45	10	3
9/9/25	$200,386.61	10	3
9/10/25	$204,900.27	18	3
9/11/25	$209,109.23	18	2
9/12/25	$211,826.19	18	2
9/13/25	$211,832.15	18	2
9/14/25	$211,838.12	18	2

9/15/25	$219,096.09	18	2
9/16/25	$218,936.06	18	2
9/17/25	$213,264.03	18	3
9/18/25	$232,596.00	18	3
9/19/25	$235,453.47	18	2
9/20/25	$235,459.44	18	2
9/21/25	$235,465.41	18	2
9/22/25	$251,075.88	18	3
9/23/25	$239,878.55	18	4
9/24/25	$234,044.52	18	3
9/25/25	$229,823.34	18	4
9/26/25	$232,606.32	19	5
9/27/25	$232,223.61	19	5
9/28/25	$232,230.90	19	5
9/29/25	$236,666.19	19	6
9/30/25	$243,770.48	19	5
10/1/25	$252,214.77	19	6
10/2/25	$261,820.06	19	5
10/3/25	$255,827.85	20	7
10/4/25	$255,885.66	20	7
10/5/25	$255,893.47	20	7
10/6/25	$270,059.78	20	7
10/7/25	$257,648.59	20	8
10/8/25	$275,143.90	20	9
10/9/25	$274,370.71	20	6
10/10/25	$237,394.52	20	9
10/11/25	$237,402.34	20	9
10/12/25	$237,410.16	20	9

10/13/25	$257,956.48	20	8
10/14/25	$247,933.80	20	10
10/15/25	$255,188.62	20	10
10/16/25	$260,874.94	20	9
10/17/25	$259,471.76	20	8
10/18/25	$259,479.58	20	8
10/19/25	$259,487.40	20	7
10/20/25	$269,210.72	20	7
10/21/25	$265,404.54	20	6
10/22/25	$249,911.86	20	6
10/23/25	$261,340.18	20	6
10/24/25	$274,601.00	20	6
10/25/25	$274,608.82	20	6
10/26/25	$274,616.64	20	6
10/27/25	$294,949.97	20	4
10/28/25	$305,667.30	20	4
10/29/25	$321,188.63	20	3
10/30/25	$304,504.46	20	4
10/31/25	$307,437.29	20	6
11/1/25	$307,445.12	20	6
11/2/25	$307,452.95	20	6
11/3/25	$312,956.28	20	5
11/4/25	$279,250.61	20	5
11/5/25	$293,297.94	20	5
11/6/25	$270,430.27	20	5
11/7/25	$260,508.60	20	6
11/8/25	$260,516.43	20	6
11/9/25	$260,524.26	20	6

11/10/25	**$285,620.59**	**20**	**5**
11/11/25	**$271,481.43**	**20**	**5**
11/12/25	**$276,470.77**	**20**	**5**
11/13/25	**$250,462.61**	**20**	**7**
11/14/25	**$250,887.45**	**20**	**6**
11/15/25	**$250,895.29**	**20**	**6**
11/16/25	**$250,903.13**	**20**	**6**
11/17/25	**$237,173.97**	**20**	**6**
11/18/25	**$226,182.31**	**20**	**7**
11/19/25	**$233,595.15**	**20**	**7**

CHART OF PORTFOLIO VALUE

The following chart displays my portfolio value over time, created in Excel using the raw data exported from StockTrak. This visualization highlights the mid-semester peak driven by semiconductor strength and the late-semester drawdown driven by option decay.